NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT-II)

C.A.(CAA)124/ND/2020

IN THE MATTER OF SCHEME OF AMALGAMATION :

AMONGST

M/S COMPAREX INDIA PRIVATE LIMITED

... Applicant No.1/Transferor Company

WITH

M/S SOFTWAREONE INDIA PRIVATE LIMITED

...Applicant No.2/Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 05.04.2021

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)

SH. L.N GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT

For Applicants : Adv. Sameer Gupta & Adv. Abhishek

ORDER

PER SHRI L.N. GUPTA, MEMBER (T)

Under consideration is the Application No. C.A. (CAA)124/ND/ 2020 filed under Sections 230 to 232 of the Companies Act, 2013. The prayer made in the application is to dispense with convening and holding of the meeting of Shareholders and Creditors in relation to the Transferor and Transferee Companies.

2. That M/s Comparex India Private Limited (hereinafter referred as the **("Transferor Company")** having CIN no. U80221DL2002PTC114903 is a private limited company incorporated under the Companies Act, 1956, on 09.04.2002. The registered office of the Transferor Company no.1 is situated at C-01, Somdutt Chambers 1 Africa Avenue 5, Bhikaji Cama Place South West Delhi-110029.

3. That M/s Softwareone India Private Limited India (hereinafter referred as the **"Transferee Company")** having CIN no. U72900DL2010FTC206379 is a company incorporated under the Companies Act 1956 on 28.07.2010. The registered office of the Transferee Company is situated at 4th Floor, Kaveri Tower-1 211, Sector- D, Pocket-6, Vasant Kunj South Delhi-110070.

4. That the present Petition has been preferred jointly by both the Transferor and Transferee Companies. Both the 'Transferor' and 'Transferee' Companies together are called 'Applicant Companies' hereinafter. That the Registered offices of all the Companies are in Delhi and therefore, the jurisdiction lies with this Bench.

5. It has been submitted that the Board of Directors of the Applicant Companies vide separate meetings held on 08.10.2020 had unanimously approved the Scheme of Amalgamation.

6. It is stated by the that through the aforesaid Scheme of Amalgamation, the Applicant companies wishes to achieve :

> *"7. b) Combined business under "SOFTWAREONE" brand with complementary offerings and geographical footprint leading to stronger market presence, to be best suitable for long term growth like India.*
>
> *c) To achieve greater efficiency in cash management and unfettered access to cash flows generated by the combined entity which can be deployed more effectively to fund organic and inorganic growth opportunities...."*

7. That the Applicant Companies have filed their Affidavits in compliance of Section 230(2)(a) of Companies Act 2013 submitting therein that the Applicant Companies are not under any prosecution/ investigation/inquiry under Companies Act 2013.

8. That the Applicant Companies have also placed on record the Certificate from the Statutory Auditors conforming that their Accounting standards are in conformity with the provision of Section 133 of the Companies Act 2013.

9. That the Applicant Companies have filed their respective Memorandum of Association (MoAs) and Articles of Association (AoAs). The Applicant Companies have also filed their latest Balance Sheet as on 31.03.2020.

10. That the position regarding the Applicant Company-wise no. of Shareholders and Creditors and their Consent through Affidavits is summarised below :

Company	No. of Share holders	Percentage of Shareholders given Consent	No. of Unsecured Creditors	Percentage of Unsecured Creditors given Consent (in terms of value)
Comparex India Private Limnited Applicant No.1 Company/ Transferor	2	100%	70	97.59%
SoftwareOne India Private Limited Applicant No.2/ Transferee Company	2	100%	106	96.42

11. Since all the shareholders of the Transferor and Transferee Companies have given their consent Affidavits, the meeting of Shareholders of the Applicant Companies is dispensed with.

12. That on 11.01.2021, certain clarifications were sought from the Applicant Companies, which are reproduced below :

"It is seen from the Application that there are total 70 unsecured creditors, out of which the following 5 unsecured creditors are holding 98.27% of the total unsecured debt. That the position of share in debt of these unsecured Creditors of Comparex India Pvt. Ltd. i.e., the Transferor Company, whose consent Affidavits are placed on record, is given below:

Sr. No.	*Name of the Entity*	*Percentage of unsecured debt*
1.	*Microsoft Corporation (India) Pvt. Ltd.*	*74.97%*
2.	*Comparex AG*	*14.16%*
3.	*SoftwareOne AG*	*4.75%*
4.	*Comparex Holding GmbH*	*3.71%*
5.	*Tech Data Advanced Solutions Solutions (India) Pvt. Ltd.*	*0.68%*
	Total	***98.27%***

"The Transferor Company is, therefore, is directed to clarify whether the above mentioned five entities viz., Comparex AG, SoftwareOne AG and Comparex Holding GmbH are sister concerns or related parties to the Transferor Company - Comparex India Pvt. Ltd. or otherwise ?

The Transferor Company is directed to clarify the same by swearing an Affidavit within 07 days from today.

2. It is observed that the Transferee Company i.e., M/s Softwareone India Private Limited has shown HSBC Bank having an unsecured debt of Rs. 54,08,59,509and Deutsche having an unsecured debt of Rs. 14,071,869. The Transferee Company is directed to confirm that the aforesaid debts are 'unsecured ones' and neither any fixed asset is mortgaged nor any security is given as 'collateral' against these debts.

The Transferee Company is directed to confirm/clarify the same by swearing an Affidavit within 07 days from today."

13. That the Transferor Company in response to the same has filed its Affidavit and has admitted that out of the 5 Unsecured Creditors, the Unsecured Creditors mentioned at Serial Number 2,3 and 4 (i.e., Comparex AG, SoftwareOne AG and Comparex Holding GmbH) of the table given on the pre-page are Group Companies and 'related parties' to the Transferor Company.

14. That in Section 230(9) of the Companies Act 2013, the Legislature has given discretion to this Tribunal to dispense with the meeting of Creditors. The Section 230(9) of the Companies Act, 2016 is reproduced below :

> *"(9) The Tribunal **may** dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least ninety per cent. value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement."*

15. It is observed that in the present case, though the criteria of consent of 90% of Unsecured Creditors has been achieved by the Transferor Company by obtaining consent from 'the related parties', in the interest of other 65 Unsecured Creditors and to ensure better

Corporate Governance, we decline to exercise our discretion as contemplated under Section 230(9) of Companies Act 2013 and accordingly, give direction to the Transferor Company to conduct meeting of its Un-secured Creditors.

16. Accordingly, as proposed by the Transferor Company, the meeting of the Un-secured Creditors both through physical or/and virtual mode is ordered to be scheduled at 03.00 PM on 25.05.2021 at the Oberoi, Dr. Zakir Hussain Marg, New Delhi-110003. The Transferor Company is directed to cause Publication of the notice in the newspapers, "Indian Express" (English, Delhi Edition) and "Jansatta" (Hindi, Delhi Edition). The notices along with a copy of the Scheme in this regard shall also be sent by Registered Post/Speed Post/ Email addressed to each of the Unsecured Creditors of the Transferor Company at their last known address and email addresses as per the records of the Transferor Company. The notices shall be issued with a clear 30 days prior to the date of the meeting. The Quorum for the meeting is fixed at 75% in value of the Total Un-secured Creditors. If the quorum is not complete at the time of the meeting, the meeting shall be adjourned by 30 minutes, and the members present for voting shall be deemed to constitute the quorum for the said meeting. As proposed by the Transferor Company, the meeting shall be chaired by Mr. Vijay Gupta Chartered Accountant. In his absence, Mr. Saurabh Gupta Chartered Accountant will chair the meeting and Mr. Rahul Jian is

appointed as Scrutinizer. The Chairman's Report shall be filed before this Tribunal, within 7 days from the conclusion of the meeting.

17. That the Transferor Company is also directed to send notice of the aforesaid meeting to the Regional Director (Northern Region), Ministry of Corporate Affairs; concerned Income Tax Authorities, RoC concerned and the Official Liquidator in accordance with the provision under Section 230(5) of Companies Act 2013. The Transferor Company shall file the proof of service to the unsecured creditors and aforesaid statutory authority along with copy of the Newspaper publications by way of an Affidavit before filing of the second motion petition.

18. The authorities are directed to make objection/representations, if any, within 30 days from the date of receipt of the Notice. In the event that no objections or representations are made within the stipulated timeframe, it shall be presumed that they do not have any objections and the "SCHEME" will be considered by this Tribunal subject to other conditions as may be applicable under the Companies Act, 2013 and relevant rules framed thereunder being satisfied.

19. That the Transferee Company has also filed its Affidavit in compliance of the Clarifications sought on 11.01.2021 and reconfirmed that the debts due to HSBC Bank and Deutsche Bank are unsecured debts and neither any fixed asset of the Transferee Company is

mortgaged nor any security is given as collateral by the Transferee Company against these debts.

20. Since more than 90% in value of the un-secured Creditors have given their consent, the meeting of the unsecured creditors of the Transferee Company is dispensed with.

21. As there are no Secured Creditors in any of the Applicants Companies, the requirement of convening their meeting does not arise.

22. The Company Petition shall be presented within 7 days from the date of filing of all of the Chairman's Reports with the Registry of this Tribunal.

23. **The Application is disposed of in the aforesaid terms.**

-Sd-

(L. N. GUPTA)
MEMBER (T)

-Sd-

(ABNI RANJAN KUMAR SINHA)
MEMBER (J)